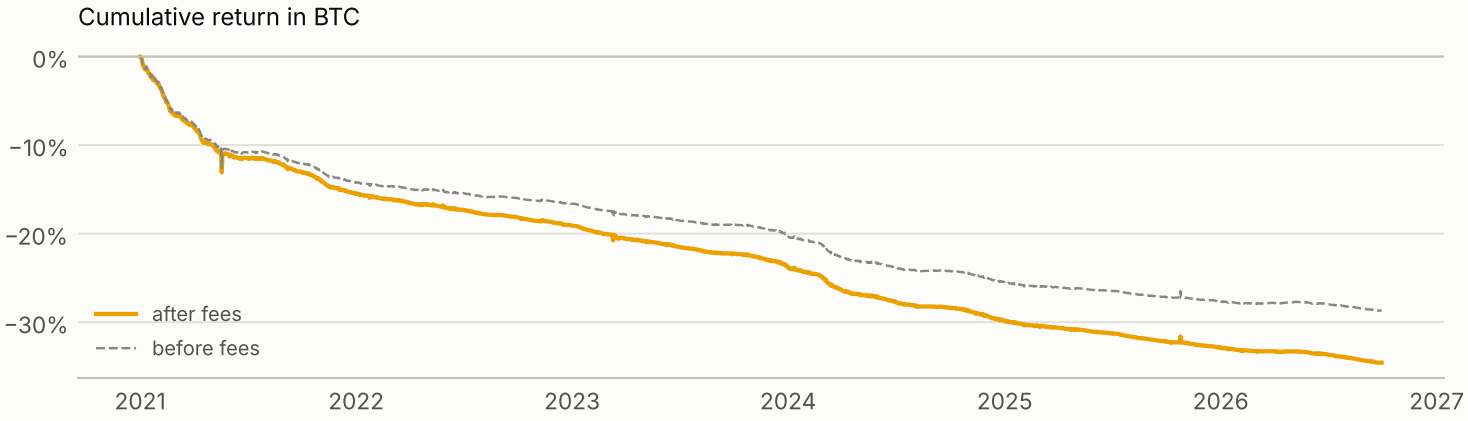
Hypothetical backtest: BTC carry, BTC hedged class

Market-neutral bitcoin carry: long spot BTC held at a custodian, short USDT-margined perpetuals on Binance and Bybit at 2x. Simulated on public data with assumed fees.

Period 2021-01-01 to 2026-09-30 | NAV and returns in BTC, after assumed fees | daily valuation at 17:00 UTC

Annualised return	Volatility (daily, annualised)	Sharpe vs zero (95% interval)
−7.1%	**2.0%**	**−1.84 (−2.4 to −1.3)**
Max drawdown	**Positive months**	**Beta to BTC (master, daily)**
−34.6%	**0%**	**0.00**



Monthly returns in BTC (after fees)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Year
2021	−3.1	−3.6	−1.3	−2.2	−1.3	−0.4	−0.1	−0.7	−1.0	−1.1	−1.1	−0.7	**−15.4**
2022	−0.5	−0.3	−0.4	−0.3	−0.4	−0.3	−0.5	−0.1	−0.4	−0.4	−0.3	−0.4	**−4.3**
2023	−0.7	−0.5	−0.6	−0.3	−0.4	−0.5	−0.4	−0.4	−0.2	−0.2	−0.7	−0.9	**−5.7**
2024	−0.8	−0.8	−1.9	−0.7	−0.4	−0.8	−0.6	−0.2	−0.1	−0.4	−0.8	−0.8	**−8.0**
2025	−0.6	−0.4	−0.2	−0.2	−0.4	−0.2	−0.5	−0.4	−0.3	−0.2	−0.5	−0.3	**−4.3**
2026	−0.5	−0.2	0.0	0.0	−0.3	−0.3	−0.5	−0.6	−0.4				**−2.6**

Assumed terms

Class currency	BTC
Currency treatment	Long USDT-margined BTC perpetual equal to the class NAV, rebalanced daily, not netted against the master; one third of NAV kept as its margin, in USDT.
Fees (assumed)	1.5% management a year; 20% performance above a high-water mark, crystallised quarterly
Fees paid	1.50% of assets a year
Before fees	−5.7% a year (−13.4% vs the USD class)
Risk-free rate	zero (BTC)

Strategy and risks

Master, before fees: 7.7% a year since Jan 2021; worst day −0.16% (2022-11-10); worst drawdown −0.6%.

Leverage 2x on the short leg, a trade-off chosen in-sample: modelled annual liquidation probability 1.1% (target margin) to 3.9% (band edge) with a 4h top-up, above a 1% reference level; the band-edge figure rests on the fitted tail. At 1x the master earned 5.8% a year before fees, against 7.7%.

Venue risk: about 33% of master NAV sits as margin at two exchanges. Had one failed on FTX's petition date with FTX's class 5A recovery, this class would have lost 37.0% of NAV.

In BTC terms the hedge pays the same funding the master earns: the class lost BTC in every calendar year of the sample, before fees.

All share classes, after fees

Class	Return	Volatility	Sharpe	Max drawdown	Fees paid	Before fees
USDT (in USDT)	+4.9%	0.8%	0.23	−0.7%	2.61%	+7.7%
USD (in USD)	+4.9%	1.0%	0.22	−0.7%	2.61%	+7.7%
JPY hedged (in JPY)	+2.1%	1.0%	0.31	−5.4%	2.22%	+4.4%
KRW hedged (in KRW)	+4.3%	1.0%	0.25	−1.4%	2.51%	+7.0%
BTC hedged (in BTC)	**−7.1%**	**2.0%**	**−1.84**	**−34.6%**	**1.50%**	**−5.7%**

Sharpe ratios: monthly excess returns over each class's own short rate (zero for BTC), annualised allowing for their autocorrelation (Lo 2002), so they are not return divided by the daily volatility shown. Volatility: daily returns annualised.

Hypothetical backtest on public data with assumed fees and costs. It is not a fund, a track record, an offer or a solicitation, and it does not describe any firm's products or terms. Past and simulated returns do not predict future returns. Legal, tax and regulatory feasibility is not assessed.